

proudly says, "As of now we have a respectable market, which is not restricted to the metros." He also points out that that they have clients in locations as diverse as Mumbai and Kohima.

In an authorised retail store, you can walk right in and browse through their product range, tinker with the gadget you want, before you make your decision. Jyotin Shah of J.S. Equipments, who import and distribute high-end products for the laptop and portables market, says, "See, when you buy here, you have the advantage of being able to see the device in action, try it out, making sure that its reliable, and ensuring that that is what you need".

Big brands come with full-fledged service centres that can tackle any problems you face. While you are sitting within the warranty period, you are assured of servicing as well as repairs and replacements—at no cost. Dushyant Mehta, of Mediaman Infotech, importers and distributors of niche computer products, agrees with this saying, "Service is a major issue, and proximity means that you can get installation service and after-sales support very easily."

Buying from official authorised stores can give a wide range of transparent payment options. You can also take advantage of any existing schemes that may throw in a few freebies, as well as allow for flexible financing. And since you are buying from an accredited source, you can be assured about the quality and origin.

Typically though, all this comes at a price. With a duty structure imposed on the import of consumer electronics into India, the end-level retail prices may not be on par with what you would see abroad. As Rishi Kapoor of Solar Systems, dealers of such exotic Sony products as

Clíé handhelds, and Vaio laptops, put it, "India has a complex duty structure, and naturally, this affects the prices"

The customs duty on imports of consumer electronics and computer hardware, has been dropping steadily, and currently, the customs duties work out to anywhere from nothing, to 25 per cent. In addition, come several other duties and taxes, importer, distributor and retailer margins, and the end result, as Jyotin Shah puts it, "is close to Rs 1,600 for a \$10 value import". This may seem rather outrageous, but you are also buying after-sales service, and the peace of mind that only a valid warranty can offer. As Neil Rumao, a young technophile from Mumbai, who regularly



Jyotin Shah
Proprietor
J.S. Equipments

Generally, there is a thumb rule factor in the IT industry—a \$10 item would have a final product MRP of Rs 1,600, after margins

buys high-end hardware and consumer electronics says, "When you can afford to pay Rs 25,000 for a product, paying Rs 30,000 to get an assurance of product quality, service and warranty, is not really an issue." However, though most big brands stock substantial portions of their product range, most of the latest high-end products take too long to reach the sub-continent.

Going grey

Until about 3 years ago, the grey market had the advantage of a vast product range, and not to mention, low prices. If you couldn't make it to the Middle East or Far East, this was the easiest place for you to

pick up esoteric hardware. Though, the entrance of big brands has rained on the grey parade. The price differences have reduced, and most resellers now offer you a choice of with warranty or without—obviously without warranty is a little cheaper. If you want the latest, and want it cheap, then this is the place for you. What's more, even if your toy isn't in stock, you can order it—without after-sales support and warranty, of course.

Prices in the unorganised market can be very competitive—several dealers confirmed that the 'landed cost' of a \$10 (Rs 460) value import item would come to between Rs 800 and Rs 1,000, if import duties were evaded. One dealer

(name withheld), spoke of a recent experience where he sourced a "\$1,000 product, that came up to Rs 75,000," and added that "counting a 42 per cent duty structure and other costs, the legitimate, post-import cost would have amounted to nearly double the initial cost". Ouch! A complex duty structure could very well push you to buying from the

street, instead of heading off for an authorised showroom.

In the grey market, it's almost a one-way street as far as warranty and after-sales support goes. Paperwork is minimal, and local warranties aren't available. If you're lucky, global warranties will work, but you might have to pay for the service anyway. If the device is esoteric, you could be out on a limb if the device mal-functions. However, realising this, dealers are now willing to offer you service deals that you can purchase along with the product. Chances are that these retailers will stock brand new hardware much faster than you would see on the shelves of an authorised dealer.

It's pretty obvious that the difference in pricing between the unorganised market and the authorized showroom, is because some of these goods may have entered the country without paying customs duties. Others are legitimately imported, but sold slightly lower than current domestic prices, because the local post-import dues, such as sales tax, were not paid.

Currently, this market has legitimate major importers now tying up with such dealers. One grey market dealer that we spoke to went so far to say, "The grey mar-

Service and Warranty

Warranty is the period of time that a company can guarantee a product to be free from stated defects. If defects do occur, the company will repair or replace the product, or its components, without additional charges. Service deals with the repair of products. Though warranties may not be provided for a product purchased off the grey market, or if purchased from abroad or online, you can still find service for it.

Though service without an existing

warranty is charged for, it can still result in savings. Even if your warranty is void or non-existent, you may still find a maintenance contract for your device.

In the grey market, importers and dealers will often give you a service deal for just a few thousand rupees more. Dealers have worked out insurance schemes with insurance companies, and will happily offer you a replacement if your notebook is faulty, since they are covered by insurance.